IVECO GROUP

Company Overview

Iveco Group is a global manufacturer of commercial vehicles, powertrains, and mobility solutions headquartered in Turin, Italy.

Iveco Group operates through five primary business segments: Truck, Bus, Defence Vehicles, Powertrain, and Financial Services.
It operates globally with a strong presence in Europe and South America, supported by manufacturing facilities, dealer networks, and service operations across more than 160 countries.

Key Assumptions and Methodology

Parameter			Value		Rationale
Valuation Date			15/03/26		
Projection Period			5 years		
Revenue Growth %			6%	Linked to Strategic Business Plan, Cyclicality and Macro trends(GDP growth)	
Annual Growth Tapering			2%		
Termianl Growth Rate			2%	Long term GDP view, growth trends, Expansion plans	
Risk Free Rate% (Rf)			2.90%	Germany 10Y bonds yield	
Levered Beta			1.2	Average of peers and own statistics	
Equity Risk Premium			6%		
Tax Rate			25%	Effective Tax Rate based on historical data(Ex- DTA exceptions)	
Reinvestment as % of revenue			5%	Past Average	

Historical Financial Performance (€ million)

Income Statement	2021	2022	2023	2024	2025	
Net Revenue	**11652**	**13172**	**14994**	**14156**	**13428**	
%growth		13%	14%	-6%	-5%	3.6% CAGR
Cost of Revenue	**10021**	**11366**	**12476**	**11701**	**11328**	
% of revenue	86%	86%	83%	83%	84%	
Gross Profit	**1631**	**1806**	**2518**	**2455**	**2100**	
% margin	14%	14%	17%	17%	16%	
Operating Expenses	**1223**	**1312**	**1525**	**1519**	**1416**	
% of revenue	10%	10%	10%	11%	11%	
Other Expenses(Restructuring,etc.)	**-144**	**-68**	**-202**	**-230**	**-146**	
EBIT	**264**	**426**	**791**	**706**	**538**	
% margin	2.27%	3.23%	5.28%	4.99%	4.01%	
D&A	**543**	**535**	**573**	**657**	**736**	
% of revenue	4.7%	4.1%	3.8%	4.6%	5.5%	
EBITDA	**807**	**961**	**1364**	**1363**	**1274**	
% margin	6.9%	7.3%	9.1%	9.6%	9.5%	
Net Financial Income/Expense	**-115**	**-206**	**-443**	**-211**	**-222**	
Total Debt	**5785**	**4433**	**6100**	**6306**	**6061**	
Financial Expense as % of debt		4%	8%	3%	4%	
PBT	**149**	**220**	**348**	**495**	**316**	
% of revenue	1.3%	1.7%	2.3%	3.5%	2.4%	
TAX	**-104**	**-101**	**-155**	**-70**	**-82**	
% of revenue	70%	46%	45%	14%	26%	
Net profit	**45**	**119**	**193**	**425**	**234**	
% of Gross Profit	3%	7%	8%	17%	11%	

Balance Sheet	2021	2022	2023	2024	2025
Total Equity	**2311**	**2391**	**2390**	**2769**	**2819**
Borrowings	**5785**	**4433**	**6100**	**6306**	**6061**
Other Liabilities	**8464**	**9189**	**9895**	**10362**	**9983**
Total Liabilities	14249	13622	15995	16668	16044
Total (equity + liabilities)	**16560**	**16013**	**18385**	**19437**	**18863**
Net Block	3055	3097	3186	3147	3028
Investments	655	307	285	352	425
Financing receivables	2909	4378	5802	5185	4831
Receivables	**318**	**341**	**326**	**405**	**336**
Inventory	**2651**	**2838**	**2868**	**2871**	**2509**
Cash & Bank	897	2288	2698	3513	2953
Other Assets	6075	2764	3220	3964	4781
Total Assets	**16560**	**16013**	**18385**	**19437**	**18863**

Revenue Projections and Growth Assumptions

Year	FY26	FY27	FY28	FY29	FY30
Revenue Growth %	6%	4%	2%	0%	-2%
Revenue (in Crs.)	14234	14803	15099	15099	14797
Chosen Scenario:	**Target Case**				
Target Case	6%	4%	2%	0%	-2%
Outstanding Case	8%	6%	4%	2%	0%
Threshold Case	4%	2%	0%	-2%	-4%

Free Cash Flow Projections

Particulars	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	14234	14803	15099	15099	14797
EBITDA Margin %	10%	10%	10%	10%	10%
EBITDA	1423	1480	1510	1510	1480
Less: Depreciation	645	671	684	684	671
EBIT	778	809	825	825	809
Less: Tax	195	202	206	206	202
NOPAT	584	607	619	619	607
Add: Depreciation	645	671	684	684	671
Less: Reinvestment	-712	-740	-755	-755	-740
Free Cash Flow to Firm	517	538	549	549	538

WACC Calculation (million euros)

Target Capital Structure	
Proportion of Debt	5%
Proportion of Equity	95%
Current Capital Structure	
Market Cap	5120
Total Debt	500
Debt / Equity	10%
Cost of Debt	
Pre-Tax Cost of Debt	5%
Tax Rate	25%
After-Tax Cost of Debt	3.75%
Cost of Equity	
Risk Free Rate	2.90%
Equity Risk Premium	6%
Levered Equity Beta	1.2
Cost of Equity	10.1%
WACC	9.783%

Terminal Value Calculation	
Terminal Year FCF (FY30)	538
Terminal Growth Rate (g)	2%
Terminal Value = FCF × (1+g) / (WACC - g)	
Terminal Value	7046.2

Present Value Calculation

Year	FY26E	FY27E	FY28E	FY29E	FY30E	Terminal Value
FCF (₹ Cr)	517	538	549	549	538	7046.2
Discount Factor	0.91	0.83	0.76	0.69	0.63	0.63
PV of FCF (₹ Cr)	471.1	446.3	414.6	377.7	337.1	4418.7

DCF Valuation Summary

Sum of PV of FCF (FY26-30)	2046.8
PV of Terminal Value	4418.7
Enterprise Value	6465.4
Less: Net Debt	-1293
Equity Value	5172.4
Shares Outstanding	271
Fair Value per Share	€ 19.09
Current Market Price	€ 19.00
Upside/(Downside)	0%

Senstivity Analysis

	1.50%	1.75%	2.00%	2.25%	2.50%
8.8%	5726.1	5913.5	6114.7	6331.3	6565.1
9.3%	5278.6	5439.3	5611.0	5795.0	5992.6
9.8%	4884.9	5024.0	5172.0	5329.8	5498.5
10.3%	4536.1	4657.3	4785.9	4922.4	5067.8
10.8%	4224.7	4331.1	4443.6	4562.7	4688.9

Key Risks and Considerations

Upside Risks :

1. Tata synergies : Combined revenues of ~€22bn creates significant purchasing, platform sharing and distribution synergies.
2. Bus normalisation : 2025 Bus production delays were explicitly flagged as one-off.
3. Net cash optionality : Industrial net cash of +€1,293mm gives Tata significant balance sheet flexibility.
4. South America recovery : Brazil and LatAm truck markets are early-cycle recoveries.
5. Expansionary offsets : Company expansion into different geographical locations and economies can offset cyclical risk.

Downside Risks :

1. Cyclical demand collapse : Truck and Bus markets are deeply tied to GDP and capital investment cycles.
2. Euro 7 transition risk: Compliance costs for new emissions standards could compress margins and require capex above the 5% of revenue assumption.
3. FX volatility : ~25% of revenues from South America and Rest of World, exposure to Currency Exchange Risk.
4.Financial Services : credit risk €4.8bn financing receivables

Iveco Group N.V. — Restated Income Statement ex-Defence & ex-Fire Fighting | € millions

COLOUR KEY: Blue = hardcoded input from Annual Report | Orange bg = Defence/FF adjustment | Yellow bg = restated/calculated line | Amber bg = estimate (2021/22 Defence & FF not separately disclosed)

Line Item (€mm)	Source & Page	FY2021 Reported	FY2022 Reported	FY2023 Restated	FY2024 Restated	FY2025 Restated	Notes
REVENUE							
Net revenues (reported / continuing ops)	*AR22 p.137; A*	12,651	14,357	15,978	15,289	13,428	*Full group 2021/22; Cont. ops (ex-FF) 2023/24; Cont. ops (ex-Def+FF) 2025*
Less: Defence revenues	*AR24 p.195 (2*	(759)	(920)	(984)	(1,133)	-	*2023-25: disclosed. 2021/22: estimated ~6-6.4% of group rev*
Less: Fire Fighting revenues	*AR24 p.286 (2*	(240)	(265)				*2023-25: already excl in AR. 2021/22: est ~€240-265mm*
Net revenues (restated)	*Formula*	**11,652**	**13,172**	**14,994**	**14,156**	**13,428**	
COST OF REVENUES							
Cost of revenues (reported / cont. ops)	*AR22 p.137; A*	10,881	12,389	13,295	12,637	11,328	
Less: Defence & FF COGS (est. proportional)	*Est.: Restated*	(860)	(1,023)	(819)	(936)		*Proportional scaling: R_COS = REP_COS × (R_REV/REP_REV)*
Cost of revenues (restated)		**10,021**	**11,366**	**12,476**	**11,701**	**11,328**	
Gross profit (restated)		**1,631**	**1,806**	**2,518**	**2,455**	**2,100**	
Gross margin % (restated)		*14.0%*	*13.7%*	*16.8%*	*17.3%*	*15.6%*	
OPERATING EXPENSES							
SG&A (reported / cont. ops)	*AR22 p.137; A*	825	936	996	1,000	857	
SG&A (restated, proportional)		**760**	**859**	**935**	**926**	**857**	
Research & development (reported)	*AR22 p.137; A*	481	473	611	617	559	
Less: Defence R&D	*AR24 p.187: 2*	(18)	(20)	(21)	(24)	-	
R&D (restated)		**463**	**453**	**590**	**593**	**559**	*NOTE: 2021/22 R&D adjustments are estimates. 2023-25 from AR directly. Immaterial on scale*
Net Operating Expenses		**1,223**	**1,312**	**1,525**	**1,519**	**1,416**	
Other Expenses(restructuring,etc)		**(144)**	**(68)**	**(202)**	**(230)**	**(146)**	
EBIT							
EBIT (reported / cont. ops)	*AR22 p.137; A*	295	466	866	819	538	
Less: Defence EBIT	*AR24 p.196: 2*	(53)	(64)	(75)	(113)	-	
Add back: Fire Fighting EBIT (losses)	*FF was loss-ma*	22	24				
EBIT (restated)		**264**	**426**	**791**	**706**	**538**	
EBIT margin % (restated)		*2.3%*	*3.2%*	*5.3%*	*5.0%*	*4.0%*	
EBITDA							
D&A (reported, group total)	*AR22 p.141: 2*	567	560	594	657	736	
Less: Defence & FF D&A	*AR25 p.285: 2*	(24)	(25)	(21)	(21)		
D&A (restated)		**543**	**535**	**573**	**657**	**736**	
EBITDA (restated)		**807**	**961**	**1,364**	**1,363**	**1,279**	
EBITDA margin % (restated)		*6.9%*	*7.3%*	*9.1%*	*9.6%*	*9.5%*	
BELOW EBIT							
Net financial income/(expenses)	*AR22 p.137: 2*	(115)	(206)	(443)	(211)	(222)	*NO adjustment: group treasury centralised. Defence net cash positive (AR25 p.204: +€491mm). No interest allocation.*
Profit before taxes (restated)		**149**	**220**	**348**	**495**	**316**	
Tax provision (as reported)	*AR22 p.163: 2*	(104)	(101)	(155)	(70)	(82)	*Used as reported. Note 2024 effective rate 8.9% was abnormally low (DTA recognition in Germany - one-off benefit).*
Net income (restated)		**45**	**119**	**193**	**425**	**234**	
KEY RATIOS (all on restated basis)							
Revenue growth % YoY			*13.1%*	*13.8%*	*(5.6%)*	*(5.1%)*	
EBIT margin %		*2.3%*	*3.2%*	*5.3%*	*5.0%*	*4.0%*	
EBITDA margin %		*6.9%*	*7.3%*	*9.1%*	*9.6%*	*9.5%*	
Net income margin %		*0.4%*	*0.9%*	*1.3%*	*3.0%*	*1.7%*	

DATA RELIABILITY BY YEAR	
FY2021	*REPORTED core P&L + ESTIMATED Defence & FF strip*
FY2022	*REPORTED core P&L + ESTIMATED Defence & FF strip*
FY2023	*EXACT cont. ops (ex-FF) + DISCLOSED Defence strip*
FY2024	*EXACT cont. ops (ex-FF) + DISCLOSED Defence strip*
FY2025	*EXACT — already ex-Defence AND ex-Fire Fighting in AR2025*

Iveco Group N.V. — Balance Sheet (Analyst Format) | € millions

Particulars	Source	2021A	2022A	2023A	2024A	2025A	Notes
EQUITY & LIABILITIES (How the business is funded)							
Equity attr. to owners of parent	*AR22p139; AR23p154*	**2,289**	**2,354**	**2,354**	**2,699**	**2,760**	*Includes share capital, share premium, retained earnings, OCI reserves*
Non-controlling interests	*Same sources*	22	37	36	70	59	*Minority shareholders in consolidated subsidiaries.*
Total Equity	*Formula*	**2,311**	**2,391**	**2,390**	**2,769**	**2,819**	*2025: €2,819mm. Growing steadily as profits retained.*
Total Debt (Borrowings)	*AR22p140; AR23p154*	**5,785**	**4,433**	**6,100**	**6,306**	**6,061**	*Sum of asset-backed financing + other debt. Primarily funds Financial Services loan portfolio.*
of which: Asset-backed financing	*Same sources*	1,926	3,149	3,860	3,558	3,166	*Securitisation of dealer/retail receivables. Self-liquidating — repaid by underlying receivables.*
of which: Other debt	*Same sources*	3,859	1,284	2,240	2,748	2,895	*Bank loans, Schuldschein, EIB facility, lease liabilities, commercial paper.*
Provisions	*AR22p140; AR23p154*	1,931	2,108	2,380	2,515	1,981	*Employee benefits (pensions) + other provisions (warranties, litigation, restructuring).*
Trade payables	*Same sources*	3,133	3,690	3,927	3,956	3,753	*Amounts owed to suppliers. Negative NWC business — payables exceed receivables + inventory.*
Other liabilities	*Same sources*	3,400	3,391	3,529	3,628	3,341	*Derivative liabilities + tax liabilities + deferred tax liabilities + other current liabilities (contract liabilities, advances on*
Liabilities held for sale	*AR24p265: FF=263; A*	-	-	59	263	908	*2024: Fire Fighting liabilities. 2025: Defence liabilities (€908mm).*
Total Liabilities	*Formula*	**14,249**	**13,622**	**15,995**	**16,668**	**16,044**	
TOTAL EQUITY + LIABILITIES	*Formula*	**16,560**	**16,013**	**18,385**	**19,437**	**18,863**	*Must be equal to total assets*
TOTAL EQUITY + LIABILITIES(carving out defence, FF)		**16,560**	**16,013**	**18,326**	**19,174**	**17,955**	
ASSETS (What the business owns)							
PP&E — Net Block	*AR22p139; AR23p153*	**3,055**	**3,097**	**3,186**	**3,147**	**3,028**	*Property, plant & equipment net of accumulated depreciation. Includes factories, machinery, right-of-use assets.*
Intangible assets	*Same sources*	1,314	1,511	1,841	2,039	2,087	*Capitalised R&D/development costs (~60%), goodwill (~5%), trademarks & other. Rising as Iveco invests in*
Investments & non-current fin. assets	*Same sources*	655	307	285	352	425	*JV investments (equity method), equity investments at FVOCI, leased assets, defined benefit plan assets.*
Deferred tax assets	*Same sources*	646	700	658	774	644	*Large DTA reflects tax losses carried forward and timing differences. 2024 spike due to Germany DTA recognition (one-off).*
Financing receivables	*Same sources*	**2,909**	**4,378**	**5,802**	**5,185**	**4,831**	*KEY LINE: Retail & wholesale loans to dealers/customers by Financial Services. Matched by asset-backed financing on liabilities side. NOT operating working capital.*
Inventories	*Same sources*	2,651	2,838	2,868	2,871	2,509	*Trucks, buses, engines, WIP and raw materials. 2025 drop reflects lower production volumes and Bus inventory*
Trade receivables	*Same sources*	318	341	326	405	336	*Amounts owed by dealers/customers for vehicle sales. Low relative to revenue — most sales go through Financial Services financing.*
Other receivables & current assets	*Same sources*	4,109	552	662	747	824	*Tax receivables, other current receivables, prepaid expenses, derivative assets. 2021 figure is high due to*
Cash & cash equivalents	*Same sources*	**897**	**2,288**	**2,698**	**3,513**	**2,953**	*2025: €2,953mm excl. €335mm in Defence (Disc Ops). Strong liquidity position.*
Assets held for sale	*AR24p264: FF=404; A*	6	1	59	404	1,226	*2024: Fire Fighting assets. 2025: Defence assets €1,221mm + other €5mm. We can strip for clean ex-Defence view.*
TOTAL ASSETS	*Formula*	**16,560**	**16,013**	**18,385**	**19,437**	**18,863**	*Assets = Equity + Liabilities*
Adjustment (carving out defence,FF)		**16,554**	**16,012**	**18,326**	**19,033**	**17,637**	*There is a mismatch as exact breakups are not mentioned in AR, especially in prior years.*
WORKING CAPITAL ANALYSIS							
NWC = Inventories + Trade Receivables - Trade Payables. Iveco runs NEGATIVE working capital — it collects from dealers before paying suppliers. This is normal for commercial vehicle OEMs and is a cash flow positive.							
Inventories	*AR sources*	2,651	2,838	2,868	2,871	2,509	

Trade receivables	*AR sources*	318	341	326	405	336
Trade payables (negative)	*AR sources*	(3,133)	(3,690)	(3,927)	(3,956)	(3,753)
Net Working Capital	*Formula*	**(164)**	**(511)**	**(733)**	**(680)**	**(908)**
NWC as % of revenue		*(1.4%)*	*(3.9%)*	*(4.9%)*	*(4.8%)*	*(6.8%)*

Negative = Iveco funded by suppliers. Becoming more negative = more efficient.

NET DEBT BRIDGE

Net Debt = Total Debt - Cash. For modelling, note that most debt (~€3.2bn in 2025) is asset-backed financing matched by Financial Services receivables. Industrial Activities net cash position was +€1,293mm at end 2025 per AR2025 p.204.

Total Debt	*AR sources*	**5,785**	**4,433**	**6,100**	**6,306**	**6,061**	*All borrowings. Dominated by Financial Services ABS funding.*
Asset-backed financing	*AR sources*	1,926	3,149	3,860	3,558	3,166	
Other debt	*AR sources*	3,859	1,284	2,240	2,748	2,895	
Less: Cash & cash equivalents	*AR sources*	(897)	(2,288)	(2,698)	(3,513)	(2,953)	
Net Debt	*Formula*	**4,888**	**2,145**	**3,402**	**2,793**	**3,108**	*2025: €3,108mm gross. Industrial Activities alone: +€1,293mm net CASH (AR2025 p.204).*
Net Debt / EBITDA (x)		*6.1x*	*2.2x*	*2.5x*	*2.0x*	*2.4x*	

KEY RATIOS

Debt / Equity (x)		*2.5x*	*1.9x*	*2.6x*	*2.3x*	*2.2x*
Asset turnover (Revenue/Assets)		*0.7x*	*0.8x*	*0.8x*	*0.7x*	*0.7x*
Equity / Total Assets		*14.0%*	*14.9%*	*13.0%*	*14.2%*	*14.9%*

DEFENCE ASSETS — HELD FOR SALE (AR2025 p.285-286)

For your ex-Defence model, deduct these from 2025 balance sheet totals.

Intangibles + PP&E	*AR2025 p.285*	174
Inventories	*AR2025 p.285*	722
Trade rec & other assets	*AR2025 p.285*	157
Financial receivables	*AR2025 p.285*	317
Cash & cash equivalents	*AR2025 p.285*	335
Total assets held for sale	*AR2025 p.285*	**1,221**
Provisions	*AR2025 p.285*	173
Debt	*AR2025 p.285*	161
Trade payables & other	*AR2025 p.285*	1,058
Total liabilities held for sale	*AR2025 p.285*	**908**

Iveco Group N.V. — Cash Flow Statement (EUR thousands)

Line Item	Source	TTM	12/31/2024	12/31/2023	12/31/2022	12/31/2021	Notes
Operating Cash Flow	*Yahoo Finance HTM*	1,112,000	1,198,000	1,336,000	1,407,000	539,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Investing Cash Flow	*Yahoo Finance HTM*	-657,000	-284,000	-2,224,000	-1,340,000	-45,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Financing Cash Flow	*Yahoo Finance HTM*	-629,000	68,000	1,489,000	1,345,000	-88,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
End Cash Position	*Yahoo Finance HTM*	2,953,000	3,513,000	2,698,000	2,288,000	897,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Capital Expenditure	*Yahoo Finance HTM*	-889,000	-950,000	-961,000	-777,000	-564,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Issuance of Debt	*Yahoo Finance HTM*	–	1,364,000	996,000	1,929,000	–	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Repayment of Debt	*Yahoo Finance HTM*	–	-741,000	-212,000	-545,000	–	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Repurchase of Capital Stock	*Yahoo Finance HTM*	-30,000	-60,000	-55,000	0	–	*Raw Yahoo figure. See AR for continuing-ops breakdown.*
Free Cash Flow	*Yahoo Finance HTM*	1,112,000	248,000	375,000	630,000	-25,000	*Raw Yahoo figure. See AR for continuing-ops breakdown.*

These figures come directly from the Annual Reports and exclude Discontinued Operations (Defence/FF).

Line Item	Source	2021	2022	2023	2024	2025	Notes
Operating CF (cont. ops)	AR22p141 | AR24p266	539	1,407	1,336	1,198	1,110	
of which: Defence OpCF	AR24p286: 2023=-€183mm			(183)		159	
of which: FF OpCF	AR24p286: 2024=-€108mm, 2023=			30	(108)	-	
Investing CF (cont. ops)	AR22p141 | AR24p266	(45)	(1,340)	(2,224)	(284)	(655)	
of which: Defence InvCF	AR24p286: 2023=-€147mm			147		25	
of which: FF InvCF	AR24p286			8	35	-	
Financing CF (cont. ops)	AR22p141 | AR24p266	(88)	1,345	1,489	68	(629)	
Capex (PP&E + intangibles)	AR22p141 | AR24p266	(564)	(777)	(961)	(939)	(775)	
Cash at end of year	AR22p141 | AR24p266	897	2,288	2,698	3,513	2,953	

Inv CF	(564)	(777)	(961)	(939)	(775)
Net changes in WC		347	222	-53	228
Total reinvestment		(430)	(739)	(992)	(547)
% of NOPAT		74%	122%	160%	88%
			-5%	-7%	-4%

Investment will be reduced from 2024

Assumptions Register & Source Verification

Every estimate tagged with basis, sensitivity, and risk rating. All disclosed figures tagged with exact AR page reference.

PART 1 — DISCLOSED FIGURES (No Estimation)

Metric	2021	2022	2023	2024	2025	Source (Annual Report page)
Revenue (reported/cont.ops)	12,651	14,357	15,978	15,289	13,428	*AR2022 p.137 (2021/22) | AR2024 p.262 (2023/24) | AR2025 p.263 (2025)*
EBIT (reported/cont.ops)	295	466	866	819	538	*Same sources as above*
Net financial income/(exp)	(115)	(206)	(443)	(211)	(222)	*AR2022 p.137 | AR2024 p.262 | AR2025 p.263*
PBT	180	260	423	608	316	*AR2022 p.137 | AR2024 p.262 | AR2025 p.263*
Tax provision	(104)	(101)	(155)	(70)	(82)	*AR2022 p.163 | AR2024 p.262 | AR2025 p.263*
D&A (group)	567	560	594	678	741	*AR2022 p.141 | AR2024 p.266 | AR2025 p.267*
Defence revenue	est	est	984	1,133	1,368	*AR2024 p.195 (2023/24) | AR2025 p.285 (2025) | ESTIMATED 2021/22*
Defence EBIT	est	est	75	113	159	*AR2024 p.196 (2023/24) | AR2025 p.285 (2025) | ESTIMATED 2021/22*
Defence Adj EBIT margin	est	est	7.7%	10.0%	11.5%	*AR2024 p.195 (2023/24) | AR2025 p.194 (2025)*
Defence R&D	est	est	21	24	22	*AR2024 p.187 (2023/24) | AR2025 p.187 (2025)*
Defence D&A	est	est	21	21	22	*AR2024 note | AR2025 p.285*
FF revenue	est	est	300	296	-	*AR2024 p.286 (2023/24) | 2025=0 (sold Jan 2025)*
FF EBIT	est	est	(29)	(34)	-	*AR2024 p.286 (2023/24) | 2025=0*
FF OpCF	est	est	(30)	(108)	-	*AR2024 p.286 (2023/24) | 2025=0*

PART 2 — ESTIMATES (2021 & 2022 ONLY — Defence & FF not separately disclosed)

Assumption	FY2021 value	FY2022 value	Basis	Sensitivity	Risk	How to verify
Defence revenue % of group	*~6.0% → €760mm*	*~6.4% → €920mm*	*Anchored to 2023 actual: 984/15978=6.2%. Applied slightly*	*±1% of group revenue = ±€127mm (2021). Impact on restated*	**LOW**	*Cross-check against IDV/ASTRA brand history. Iveco did not disclose until 2024 CMD.*
Defence EBIT margin (est.)	*~7.0% → €53mm*	*~7.0% → €64mm*	*2023 actual: 7.7% (AR2024 p.195). 2024: 10.0%. Used conservative 7.0%*	*±2pp margin = ±€15mm EBIT impact (2021). Immaterial for DCF.*	**LOW-MEDIUM**	*2023 margin confirmed at 7.7%. No 2021/22 data available without internal access.*
Fire Fighting revenue (est.)	*~€240mm*	*~€265mm*	*2023 actual: €300mm, 2024: €296mm (AR2024 p.286). Applied*	*±€50mm revenue = ±€5mm EBIT impact (FF margin ~-10%).*	**LOW**	*No separate FF disclosure pre-2024. Trend suggests slightly lower in earlier years.*

FF EBIT margin (est.)	*~-9% → +€22mm addback*	*~-9% → +€24mm addback*	*2023: -9.7% (-29/300), 2024: -11.5% (-34/296). FF was consistently*	*FF was loss-making so stripping it IMPROVES restated EBIT.*	**LOW**	*AR2024 p.286 confirms FF loss-making in both 2023 and 2024.*
Defence R&D 2021/22 (est.)	*~€18mm*	*~€20mm*	*2023: €21mm, 2024: €24mm (AR2024 p.187). Applied slightly*	*±€5mm = immaterial (<1% of total R&D).*	**LOW**	*Check AR2024 p.187 for 2023/24 actuals. 2021/22 cannot be confirmed.*
Defence D&A 2021/22 (est.)	*~€19mm*	*~€20mm*	*2024: €21mm, 2025: €22mm (AR disclosed). Very stable asset base*	*±€3mm = negligible EBITDA impact.*	**LOW**	*AR2025 p.285 confirms 2025=€22mm, 2024=€21mm. Stable trajectory.*

PART 3 — KEY MODELLING NOTES FOR TATA VALUATION

Net financial income treatment	No adjustment made across all years. Group treasury is centralised. AR2025 p.204 confirms Defence had net cash position of +€491mm — it was not a debt consumer. Financial expenses belong to the continuing group (primarily Financial Services debt).
2025 cross-check	2025 P&L cross-checks exactly to AR2025 p.263: Rev=€13,428mm, EBIT=€538mm, PBT=€316mm. This confirms the methodology is correct for 2025. Net financial for 2025=-€222mm is from AR2025 p.263 (Financial income €115mm, Financial expenses €337mm).
2023 net financial (-€443mm)	AR2024 p.262 shows 2023 net financial = -€443mm (Financial income €93mm, expenses €536mm). This is HIGHER than 2024 (-€211mm) because interest rates were higher in 2023 and FS had larger portfolio funding needs. This is CORRECT — do not confuse with 2024 or 2025.
Tax treatment	Tax used as reported. For DCF modelling, normalise to 25-26% effective rate (actual group rate). 2024 effective rate of 8.9% was due to one-off DTA recognition in Germany per AR2024 p.290 — not representative.
Defence disposal proceeds in EV bridge	Tata offer = €14.1/share (~€3.8bn total) for ex-Defence Iveco. Defence sold to Leonardo for €1.7bn EV (AR2025 p.285). In EV→equity bridge: deduct net debt, add back Defence proceeds as separate line. Do not double-count.
Working capital treatment	For DCF purposes, changes in working capital are in the cash flow statement. Yahoo CF shows this as single line. For more granular analysis, use AR figures broken into trade receivables, inventories, trade payables.
Financial Services	Iveco has a captive finance arm with €6bn+ of matched debt. For Tata valuation, most analysts either (1) exclude FS debt from net debt bridge and value FS separately on P/Book, or (2) use EV/EBITDA only for Industrial Activities. The AR provides this split — see "Industrial Activities" vs "Financial Services" split in each AR.